



Manage operational risk

D2.TTO.CL4.11

Trainer Guide



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Trainer Guide

Project Base

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Competency Based Training (CBT) and assessment – An introduction for trainers

Competency

Competency refers to the ability to perform particular tasks and duties to the standard of performance expected in the workplace.

Competency requires the application of specified knowledge, skills and attitudes relevant to effective participation, consistently over time and in the workplace environment.

The essential skills and knowledge are either identified separately or combined.

Knowledge identifies what a person needs to know to perform the work in an informed and effective manner.

Skills describe the application of knowledge to situations where understanding is converted into a workplace outcome.

Attitude describes the founding reasons behind the need for certain knowledge or why skills are performed in a specified manner.

Competency covers all aspects of workplace performance and involves:

- Performing individual tasks
- Managing a range of different tasks
- Responding to contingencies or breakdowns
- Dealing with the responsibilities of the workplace
- Working with others.

Unit of competency

Like with any training qualification or program, a range of subject topics are identified that focus on the ability in a certain work area, responsibility or function.

Each manual focuses on a specific unit of competency that applies in the hospitality workplace.

In this manual a unit of competency is identified as a 'unit'.

Each unit of competency identifies a discrete workplace requirement and includes:

- Knowledge and skills that underpin competency
- Language, literacy and numeracy
- Occupational safety and health requirements.

Each unit of competency must be adhered to in training and assessment to ensure consistency of outcomes.

Element of competency

An element of competency describes the essential outcomes within a unit of competency.

The elements of competency are the basic building blocks of the unit of competency. They describe in terms of outcomes the significant functions and tasks that make up the competency.

In this manual elements of competency are identified as an 'element'.

Performance criteria

Performance criteria indicate the standard of performance that is required to demonstrate achievement within an element of competency. The standards reflect identified industry skill needs.

Performance criteria will be made up of certain specified skills, knowledge and attitudes.

Learning

For the purpose of this manual learning incorporates two key activities:

- Training
- Assessment.

Both of these activities will be discussed in detail in this introduction.

Today training and assessment can be delivered in a variety of ways. It may be provided to participants:

- On-the-job – in the workplace
- Off-the-job – at an educational institution or dedicated training environment
- As a combination of these two options.

No longer is it necessary for learners to be absent from the workplace for long periods of time in order to obtain recognised and accredited qualifications.

Learning approaches

This manual will identify two avenues to facilitate learning:

Competency Based Training (CBT)

This is the strategy of developing a participant's competency.

Educational institutions utilise a range of training strategies to ensure that participants are able to gain the knowledge and skills required for successful:

- Completion of the training program or qualification
- Implementation in the workplace.

The strategies selected should be chosen based on suitability and the learning styles of participants.

Competency Based Assessment (CBA)

This is the strategy of assessing competency of a participant.

Educational institutions utilise a range of assessment strategies to ensure that participants are assessed in a manner that demonstrates validity, fairness, reliability, flexibility and fairness of assessment processes.

Flexibility in learning

It is important to note that flexibility in training and assessment strategies is required to meet the needs of participants who may have learning difficulties. The strategies used will vary, taking into account the needs of individual participants with learning difficulties. However they will be applied in a manner which does not discriminate against the participant or the participant body as a whole.

Catering for participant diversity

Participants have diverse backgrounds, needs and interests. When planning training and assessment activities to cater for individual differences, trainers and assessors should:

- Consider individuals' experiences, learning styles and interests
- Develop questions and activities that are aimed at different levels of ability
- Modify the expectations for some participants
- Provide opportunities for a variety of forms of participation, such as individual, pair and small group activities
- Assess participants based on individual progress and outcomes.

The diversity among participants also provides a good reason for building up a learning community in which participants support each other's learning.

Participant centred learning

This involves taking into account structuring training and assessment that:

- *Builds on strengths* – Training environments need to demonstrate the many positive features of local participants (such as the attribution of academic success to effort, and the social nature of achievement motivation) and of their trainers (such as a strong emphasis on subject disciplines and moral responsibility). These strengths and uniqueness of local participants and trainers should be acknowledged and treasured
- *Acknowledges prior knowledge and experience* – The learning activities should be planned with participants' prior knowledge and experience in mind
- *Understands learning objectives* – Each learning activity should have clear learning objectives and participants should be informed of them at the outset. Trainers should also be clear about the purpose of assignments and explain their significance to participants
- *Teaches for understanding* – The pedagogies chosen should aim at enabling participants to act and think flexibly with what they know
- *Teaches for independent learning* – Generic skills and reflection should be nurtured through learning activities in appropriate contexts of the curriculum. Participants should be encouraged to take responsibility for their own learning
- *Enhances motivation* – Learning is most effective when participants are motivated. Various strategies should be used to arouse the interest of participants

- *Makes effective use of resources* – A variety of teaching resources can be employed as tools for learning
- *Maximises engagement* – In conducting learning activities, it is important for the minds of participants to be actively engaged
- *Aligns assessment with learning and teaching* – Feedback and assessment should be an integral part of learning and teaching
- *Caters for learner diversity* – Trainers should be aware that participants have different characteristics and strengths and try to nurture these rather than impose a standard set of expectations.

Active learning

The goal of nurturing independent learning in participants does not imply that they always have to work in isolation or solely in a classroom. On the contrary, the construction of knowledge in tourism and hospitality studies can often best be carried out in collaboration with others in the field. Sharing experiences, insights and views on issues of common concern, and working together to collect information through conducting investigative studies in the field (active learning) can contribute a lot to their eventual success.

Active learning has an important part to play in fostering a sense of community in the class. First, to operate successfully, a learning community requires an ethos of acceptance and a sense of trust among participants, and between them and their trainers. Trainers can help to foster acceptance and trust through encouragement and personal example, and by allowing participants to take risks as they explore and articulate their views, however immature these may appear to be. Participants also come to realise that their classmates (and their trainers) are partners in learning and solving.

Trainers can also encourage cooperative learning by designing appropriate group learning tasks, which include, for example, collecting background information, conducting small-scale surveys, or producing media presentations on certain issues and themes. Participants need to be reminded that, while they should work towards successful completion of the field tasks, developing positive peer relationships in the process is an important objective of all group work.

Competency Based Training (CBT)

Principle of Competency Based Training

Competency based training is aimed at developing the knowledge, skills and attitudes of participants, through a variety of training tools.

Training strategies

The aims of this curriculum are to enable participants to:

- Undertake a variety of subject courses that are relevant to industry in the current environment
- Learn current industry skills, information and trends relevant to industry
- Learn through a range of practical and theoretical approaches
- Be able to identify, explore and solve issues in a productive manner

- Be able to become confident, equipped and flexible managers of the future
- Be 'job ready' and a valuable employee in the industry upon graduation of any qualification level.

To ensure participants are able to gain the knowledge and skills required to meet competency in each unit of competency in the qualification, a range of training delivery modes are used.

Types of training

In choosing learning and teaching strategies, trainers should take into account the practical, complex and multi-disciplinary nature of the subject area, as well as their participant's prior knowledge, learning styles and abilities.

Training outcomes can be attained by utilising one or more delivery methods:

Lecture/tutorial

This is a common method of training involving transfer of information from the trainer to the participants. It is an effective approach to introduce new concepts or information to the learners and also to build upon the existing knowledge. The listener is expected to reflect on the subject and seek clarifications on the doubts.

Demonstration

Demonstration is a very effective training method that involves a trainer showing a participant how to perform a task or activity. Through a visual demonstration, trainers may also explain reasoning behind certain actions or provide supplementary information to help facilitate understanding.

Group discussions

Brainstorming in which all the members in a group express their ideas, views and opinions on a given topic. It is a free flow and exchange of knowledge among the participants and the trainer. The discussion is carried out by the group on the basis of their own experience, perceptions and values. This will facilitate acquiring new knowledge. When everybody is expected to participate in the group discussion, even the introverted persons will also get stimulated and try to articulate their feelings.

The ideas that emerge in the discussions should be noted down and presentations are to be made by the groups. Sometimes consensus needs to be arrived at on a given topic. Group discussions are to be held under the moderation of a leader guided by the trainer. Group discussion technique triggers thinking process, encourages interactions and enhances communication skills.

Role play

This is a common and very effective method of bringing into the classroom real life situations, which may not otherwise be possible. Participants are made to enact a particular role so as to give a real feel of the roles they may be called upon to play. This enables participants to understand the behaviour of others as well as their own emotions and feelings. The instructor must brief the role players on what is expected of them. The role player may either be given a ready-made script, which they can memorise and enact, or they may be required to develop their own scripts around a given situation. This technique is extremely useful in understanding creative selling techniques and human relations. It can be entertaining and energising and it helps the reserved and less literate to express their feelings.

Simulation games

When trainees need to become aware of something that they have not been conscious of, simulations can be a useful mechanism. Simulation games are a method based on "here and now" experience shared by all the participants. The games focus on the participation of the trainees and their willingness to share their ideas with others. A "near real life" situation is created providing an opportunity to which they apply themselves by adopting certain behaviour. They then experience the impact of their behaviour on the situation. It is carried out to generate responses and reactions based on the real feelings of the participants, which are subsequently analysed by the trainer.

While use of simulation games can result in very effective learning, it needs considerable trainer competence to analyse the situations.

Individual /group exercises

Exercises are often introduced to find out how much the participant has assimilated. This method involves imparting instructions to participants on a particular subject through use of written exercises. In the group exercises, the entire class is divided into small groups, and members are asked to collaborate to arrive at a consensus or solution to a problem.

Case study

This is a training method that enables the trainer and the participant to experience a real life situation. It may be on account of events in the past or situations in the present, in which there may be one or more problems to be solved and decisions to be taken. The basic objective of a case study is to help participants diagnose, analyse and/or solve a particular problem and to make them internalise the critical inputs delivered in the training. Questions are generally given at the end of the case study to direct the participants and to stimulate their thinking towards possible solutions. Studies may be presented in written or verbal form.

Field visit

This involves a carefully planned visit or tour to a place of learning or interest. The idea is to give first-hand knowledge by personal observation of field situations, and to relate theory with practice. The emphasis is on observing, exploring, asking questions and understanding. The trainer should remember to brief the participants about what they should observe and about the customs and norms that need to be respected.

Group presentation

The participants are asked to work in groups and produce the results and findings of their group work to the members of another sub-group. By this method participants get a good picture of each other's views and perceptions on the topic and they are able to compare them with their own point of view. The pooling and sharing of findings enriches the discussion and learning process.

Practice sessions

This method is of paramount importance for skills training. Participants are provided with an opportunity to practice in a controlled situation what they have learnt. It could be real life or through a make-believe situation.

Games

This is a group process and includes those methods that involve usually fun-based activity, aimed at conveying feelings and experiences, which are everyday in nature, and applying them within the game being played. A game has set rules and regulations, and may or may not include a competitive element. After the game is played, it is essential that the participants be debriefed and their lessons and experiences consolidated by the trainer.

Research

Trainers may require learners to undertake research activities, including online research, to gather information or further understanding about a specific subject area.

Competency Based Assessment (CBA)

Principle of Competency Based Assessment

Competency based assessment is aimed at compiling a list of evidence that shows that a person is competent in a particular unit of competency.

Competencies are gained through a multitude of ways including:

- Training and development programs
- Formal education
- Life experience
- Apprenticeships
- On-the-job experience
- Self-help programs.

All of these together contribute to job competence in a person. Ultimately, assessors and participants work together, through the 'collection of evidence' in determining overall competence.

This evidence can be collected:

- Using different formats
- Using different people
- Collected over a period of time.

The assessor, who is ideally someone with considerable experience in the area being assessed, reviews the evidence and verifies the person as being competent or not.

Flexibility in assessment

Whilst allocated assessment tools have been identified for this subject, all attempts are made to determine competency and suitable alternate assessment tools may be used, according to the requirements of the participant.

The assessment needs to be equitable for all participants, taking into account their cultural and linguistic needs.

Competency must be proven regardless of:

- Language
- Delivery Method
- Assessment Method.

Assessment objectives

The assessment tools used for subjects are designed to determine competency against the 'elements of competency' and their associated 'performance criteria'.

The assessment tools are used to identify sufficient:

- a) Knowledge, including underpinning knowledge
- b) Skills
- c) Attitudes

Assessment tools are activities that trainees are required to undertake to prove participant competency in this subject.

All assessments must be completed satisfactorily for participants to obtain competence in this subject. There are no exceptions to this requirement, however, it is possible that in some cases several assessment items may be combined and assessed together.

Types of assessment

Allocated Assessment Tools

There are a number of assessment tools that are used to determine competency in this subject:

- Work projects
- Written questions
- Oral questions
- Third Party Report
- Observation Checklist.

Instructions on how assessors should conduct these assessment methods are explained in the Assessment Manuals.

Alternative assessment tools

Whilst this subject has identified assessment tools, as indicated above, this does not restrict the assessor from using different assessment methods to measure the competency of a participant.

Evidence is simply proof that the assessor gathers to show participants can actually do what they are required to do.

Whilst there is a distinct requirement for participants to demonstrate competency, there are many and diverse sources of evidence available to the assessor.

Ongoing performance at work, as verified by a supervisor or physical evidence, can count towards assessment. Additionally, the assessor can talk to customers or work colleagues to gather evidence about performance.

A range of assessment methods to assess competency include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals: slides, audio tapes
- Case studies
- Log books
- Projects
- Role plays
- Group projects
- Group discussions
- Examinations.

Recognition of Prior Learning

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

Also known as a Skills Recognition Audit (SRA), this process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Assessing competency

As mentioned, assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency. Traditionally in education, grades or marks were given to participants, dependent on how many questions the participant successfully answered in an assessment tool.

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- Pass Competent (PC)
- Not Yet Competent (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Competency standard

UNIT TITLE: MANAGE OPERATIONAL RISK		NOMINAL HOURS: 70
UNIT NUMBER: D2.TTO.CL4.11		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to identify, evaluate and control operational risks		
ELEMENTS AND PERFORMANCE CRITERIA	UNIT VARIABLE AND ASSESSMENT GUIDE	
Element 1: Undertake initial operational risk management procedures 1.1 Establish the <i>context</i> for operational risk 1.2 Identify operational risk 1.3 Assess operational risk 1.4 Identify operational risk control procedures Element 2: Prepare risk management strategies 2.1 Develop written <i>operational risk management policy</i> 2.2 Develop written <i>operational risk management plans</i> 2.3 Develop written <i>operational contingency plans</i> Element 3: Communicate risk management strategies 3.1 Inform staff of operational risk management and contingency plans	Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment. This unit applies to staff responsible for identifying, evaluating and controlling operational risk, within the labour divisions of the hotel and travel industries and may include: 1. Front Office 2. Housekeeping 3. Food and Beverage Service 4. Food Production 5. Travel Agencies 6. Tour Operation <i>Context</i> may be related to: • Internal operational environment • External operational environment • Factors impacting on operational environments, including weather, customer numbers, time of day, seasonality, type of activity or tour, experience and age of customers, ability and physical condition of customers, equipment being used and location	

3.2 Conduct <i>staff training</i> 3.3 Prepare <i>resources to inform customers of operational risk management plans and operational contingency plans</i> Element 4: Implement risk management strategies 4.1 Plan for the introduction of written risk management plans 4.2 Implement risk management plans as written Element 5: Manage on-going risk exposure 5.1 Identify new operational risks and changes in identified operational risk 5.2 Monitor implementation of existing plans and strategies 5.3 Ensure <i>near miss events</i> are identified, recorded and analysed 5.4 Evaluate implementation of existing plans and strategies 5.5 Revise existing plans and strategies	• Legal requirements of the host country in relation to operational risk, including duty of care, legal liability and occupational health, safety and welfare • Identifying operational risk criteria • Stakeholders who may be at risk, including customers, staff and members of the public. <i>Risk</i> may encompass: • Personal health and injury • Product malfunction or failure, including systems and equipment • Damage to property and equipment, including customer property • Industrial dispute • Professional incompetence • Natural disasters • Security failure • Financial loss • Political events • Terrorism. <i>Identify operational risk</i> should include: • Research to reveal workplace risk • Determining where operational risk may occur • Determining when operational risk may occur • Determining how operational risk may occur • Determining why operational risk may occur • Determining what operational risk may occur.
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Assess operational risk should include:

- Determining the likelihood of an operational risk becoming a reality
- Determining the consequences of an operational risk becoming a reality
- Determining the level of risk based on likelihood and consequences
- Assessing the legal, material and financial exposure of the business to damage or claims if an operational risk becomes a reality
- Deciding if the operational risk is to be addressed or allowed to remain unaddressed
- Considering risk sharing options
- Considering and evaluating operational risk control options
- Evaluating existing operational risk control strategies.

Identify operational risk control procedures should relate to:

- The hierarchy of risk control, including elimination, substitution, isolation, changes to plant, procedures and workplace, administrative controls, personal protective clothing and equipment
- Rating the cost of implementation of viable options
- Sourcing the requirements for operational risk control implementation, including expertise, physical resources and knowledge
- Selecting protocols to be put in place to control identified operational risk
- Seeking input from stakeholders
- Deciding on operational risk management processes to be adopted.

Operational risk management policy should include

- Reasons for the enterprise wanting or needing to manage operational risk
- Objectives of the operational risk management strategies
- Statements regarding the limits of operational risk the enterprise will allow or engage in

	• The ways in which the enterprise will manage operational risk • Allocation of responsibilities for operational risk management • Identification of reviews of existing operational risk management strategies • Statement by management committing the enterprise to managing operational risk. <i>Operational risk management plans</i> should include: • Statement and description of the operational risks that are to be managed • Allocation of responsibilities and resources to attain the objectives of the plan • Descriptions of action to be taken in the event of an operational risk becoming a reality, including specific actions by nominated persons, sequencing of actions and identification of resources to assist in risk abatement/treatment • Preventative action to be taken to reduce the chance of an operational risk becoming a reality • Steps to eliminate unacceptable operational risks, including priorities for doing so • Details regarding the application of identified risk control measures to operational risks that cannot be eliminated. <i>Operational contingency plans</i> should include: • Details of the actions the enterprise will take when an operational risk has become a reality and loss or damage has occurred, including identification of necessary scopes of authorities, changes to standard operating procedures, limitations on actions, contact with outside agencies including the media • Processes to retrieve the situation and re-establish normal operating conditions • Specific actions to retain customers and market share • Specific actions to maintain confidence of the industry, stakeholders and customers in the enterprise • Damage limitation and damage control protocols.
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	<i>Inform staff</i> may include: • Providing and explaining written copies of plans • Advising staff regarding the introduction of plans • Detailing procedures for notification of situations that pose a risk to operations. <i>Staff training</i> may include: • Internal and external practical training in implementing designated aspects of plans • Conducting practices and drills • Providing opportunity for staff to apply identified operational risk control, management strategies and techniques • Case studies and role plays • Simulating operational risk in situations that replicate realistic conditions. <i>Resources to inform customers of operational risk management plans and operational contingency plans</i> may include: • Production of emergency management plans • Development of operational risk management strategies and plans in formats that can be included in induction and other in-house training • Preparation of pre-prepared statements ready to communicate to external providers, suppliers and other key stakeholders in the event that contingency plans need to be implemented • Preparation of operational risk management materials for distribution to customers. <i>Plan for the introduction</i> may include: • Conducting staff meetings to explain the need for, the introduction of and the application of operational risk management strategies • Providing support for the introduction of operational risk management strategies
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	• Acquiring the resources to support the introduction of operational risk management strategies • Responding to staff queries regarding the introduction of operational risk management strategies • Re-assuring staff regarding the introduction of operational risk management strategies. <i>Implement risk management plans</i> must include: • Putting into place and practice the risk management strategies and plans developed to address identified risk • Ensuring the written plans are adhered to • Taking remedial action to bring out of control risk management strategies and plans back under control. <i>Identify new operational risks and changes in identified operational risk</i> may include: • Encouraging staff participation in risk identification, assessment and control • Establishing a formal internal framework for communication and the management of operational risk • Seeking feedback on risk from customers and key stakeholders • Inspecting equipment, processes, facilities and the business environment to identify changes to and the emergence of, operational risk • Recording and communicating identified new operational risk and changes to identified operational risk, to management. <i>Monitor implementation</i> may include: • Observing workplace practices • Recording relevant operational risk-related data and maintaining records • Identifying and rewarding instances of compliance with operational risk management plans and strategies
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	- Identifying and modifying behaviour where instances of non-compliance with operational risk management plans and strategies are observed - Supporting attempts to comply with operational risk management strategies – including the provision of financial support, time release and on-going training. <i>Near miss events</i> refer to: - Incidents/events that did not result in actual injury, damage or other negative impact, but which in other circumstances may have resulted in injury to a person, damage to property, or some other negative impact on the organisation. <i>Evaluate implementation</i> may include: - Judging the actual effect of the operational risk management strategies against initial objectives - Quantifying the advantages and disadvantages that have flowed from the implementation of operational risk management strategies - Deciding on changes that need to be made to existing plans and strategies - Identifying changes that have occurred in the operational risk environment in which the business operates. <i>Revise existing plans and strategies</i> may include: - Involving stakeholders in the revision process - Re-writing plans and strategies on the basis of formal evaluations of previous plans - Communicating changes to staff - Providing training and/or re-training, as appropriate, to support the revised plans and strategies. Assessment Guide The following skills and knowledge must be assessed as part of this unit: - Enterprise policies and procedures in regard to risk management including risk identification, risk assessment and risk control
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	• Knowledge of the principles of risk identification, risk assessment and risk control • Knowledge of the legal and financial implications relating to operational risk management • Ability to use research techniques to identify threats and risks • Knowledge of occupational health, safety and welfare, and environmental safety • Knowledge about the formulation of strategic, tactical and operational plans. Linkages To Other Units • Manage legal requirements for business compliance • Manage physical assets and infrastructure • Implement occupational health and safety procedures • Follow safety and security procedures • Develop and implement a business plan • Plan and establish systems and procedures • Develop and implement operational plans • Establish and maintain a safe and secure workplace • Establish and maintain safe touring conditions • Lead tour groups in a responsible manner • Maintain tourism vehicles in safe and clean operational condition • Operate and maintain a 4-WD vehicle in safe working condition • Operate tours in remote areas • Develop and manage business strategies. Critical Aspects of Assessment Evidence of the following is essential: • Understanding of host enterprise policies and procedures in regard to operational risk management including risk identification, risk assessment and risk control
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	• Understanding of the legal and financial implications regarding operational risk management • Demonstrated ability to identify and assess risk in a nominated work environment and suggest effective and viable operational risk control procedures to address each identified risk • Demonstrated ability to produce a written operational risk management policy for a nominated enterprise, which may be the host employer • Demonstrated ability to produce an effective, written and viable operational risk management plan to address a nominated operational risk in a nominated enterprise • Demonstrated ability to effectively and efficiently communicate the contents of a nominated operational risk management plan to a given number of people • Demonstrated ability to follow the requirements of a nominated operational risk management plan in a designated business under simulated conditions where a risk has been induced • Demonstrated ability to monitor and evaluate the implementation of an operational risk management plan under prescribed conditions and integrate the findings into a revised written operational risk management plan. Context of Assessment Assessment must ensure: • Actual or simulated workplace application of operational risk management activities. Resource Implications Training and assessment must include a real or simulated workplace, real people and real or simulated risks; and access to workplace standards, procedures, policies, guidelines, tools and equipment. Note: the safety of candidates or other people must not be jeopardised as a result of any training or assessment for this unit.
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Assessment Methods

The following methods may be used to assess competency for this unit:

- Observation of practical candidate performance
- Portfolio of written material produced, including operational risk management policy, operational risk management plan, operational contingency plan, feedback sheets to support other assessment activities
- Role plays
- Case studies
- Oral and written questions
- Third party reports completed by a supervisor
- Project and assignment work
- Simulations.

Key Competencies in this Unit

Level 1 = competence to undertake tasks effectively

Level 2 = competence to manage tasks

Level 3 = competence to use concepts for evaluating

Key Competencies	Level	Examples
Collecting, organising and analysing information	3	Conduct risk identification and assessment activities
Communicating ideas and information	3	Produce operational risk management policy and plans
Planning and organising activities	3	Determine the implementation for risk management plans
Working with others and in teams	3	Consult with others on risk control options

	Using mathematical ideas and techniques	2	Calculate the probability of risk
	Solving problems	3	Address identified risk
	Using technology	2	Use risk control technologies and equipment

Notes and PowerPoint slides

Slide

MANAGE OPERATIONAL RISK

D2.TTO.CL4.11



Slide 1

Slide No	Trainer Notes
1.	Trainer introduces himself/herself and welcomes the class.

Slide

Manage operational risk

This unit is comprised of **5** elements:

1. Undertake initial operational risk management procedures
2. Prepare risk management strategies
3. Communicate risk management strategies
4. Implement risk management strategies
5. Manage on-going risk exposure

Slide 2

Slide No	Trainer Notes
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2.	
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	Trainer advises students that the unit comprises five elements, as listed on the slide explaining:
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- | | |
|--|---|
| | <ul style="list-style-type: none">• Each element has a number of performance criteria which will be identified throughout the class and explained in detail• Students can obtain more information from their Trainee Manual• The course presents advice and information but where the workplace requirements differ to what is presented, the workplace practices and standards must be observed. |
|--|---|

Slide

Assessment

Assessment for this unit may include:

- Oral questions
- Written questions
- Work projects
- Practical activities
- 3rd party report
- Observation checklist

Slide 3

Slide No	Trainer Notes
3.	Trainer advises students that assessment for this unit may take several forms all of which are aimed at verifying they have achieved competency for the unit as required. Trainer outlines to students the methods of assessment that will be applied to them for this unit.

Slide

Element 1: Undertake initial operational risk management procedures

Performance criteria for this element are:

- 1.1 Establish the context for operational risk
- 1.2 Identify operational risk
- 1.3 Assess operational risk
- 1.4 Identify operational risk control procedures

Slide 4

Slide No	Trainer Notes
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4.	Trainer outlines for students the Performance criteria for this Element, as listed on the slide.
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Slide

1.1 Establishing the context for operational risk

Lan and Jo

Slide 5

Slide No	Trainer Notes
5.	- Go to page 9 of Trainee manual and read the example in the introduction - Discuss the situation Lan and Jo are dealing with - How many of you have experienced similar situations? - How has Po's action transformed the situation? - How can we each become more like Po?

Slide

1.1 Establishing the context for operational risk

- What is risk?
- “The effect of uncertainty on objectives.”
- International Organisation for Standardisation (ISO)



What is your definition of risk?

Slide 6

Slide No	Trainer Notes
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- | | |
|----|---|
| 6. | <ul style="list-style-type: none"> • Explain the ISO definition of risk to the group • Get them to provide their own definitions of risk with particular emphasis on how it relates to their own work areas • This is a simpler definition:
“A risk is the potential (or possibility) for a hazard to cause injury or illness in the workplace.” |
|----|---|

Slide

1.1 Establishing the context for operational risk

Risk Management can be simplified into these 4 questions:

1. What untoward things could happen?
2. What would be the impact?
3. What can we do about it?
4. How do we tell everyone involved?



Slide 7

Slide No	Trainer Notes
7.	The trainer can go through each of these questions with the group and ask them to relate these questions back to their workplace.

Slide

1.1 Establishing the context for operational risk

The four levels of risk:

- Strategic level
- Organisational level
- Operational level
- Task level



Slide 8

Slide No	Trainer Notes
8.	Explain the four levels of risk: • Strategic – relates to actions taken at senior management level such as decisions to open a new hotel, start a new tour etc. • Organisational – which relate to the management structures, systems and processes that the organisation adopts to achieve its strategic goals • Operational – which is linked to breakdown in systems within an organisation e.g. fraud, IT system failure, power outages • Task risks – result from an individual's work tasks e.g. a team member forgetting to fulfil an F&B order so the hotel gets a poor reputation • Get the group to provide an example of each within the hospitality industry.

Slide

1.1 Establishing the context for operational risk

Understanding the context of risk:

1. What is the organisation's background?
2. What environment does it operate in?
3. What risk management activities will be undertaken?
4. What is the appropriate structure in which to manage this risk?



Slide 9

Slide No

Trainer Notes

9.

Ask the group to break down these steps involved in understanding the context of risk as a group activity.

Slide

1.1 Establishing the context for operational risk

The external context of risk: PESTL

- Political
- Economic
- Social
- Technological
- Legal



Slide 10

Slide No	Trainer Notes
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10.	- Explain how a PESTL analysis can be used to establish external factors which may impact upon risk within the organisation. These can be looked at in a local, regional and international level - Every organisation operates in an external environment which impacts greatly on its ability to achieve objectives - Imagine a travel business with key operations in a region in Africa which becomes politically unstable. There are sizable risks associated with conducting business in this sort of environment.
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Slide

1.1 Establishing the context for operational risk

The internal context of risk needs to be considered in terms of the risks associated with its:

- Culture
- Structure
- Processes
- Objectives



Slide 11

Slide No	Trainer Notes
11.	- The trainer explains the internal context of risk - The internal workings of the organisation also need to be considered in terms of the risks associated with its culture, structure, processes and how it sets out to achieve its objectives. This involves understanding areas such as the resources and knowledge available to the organisation, how information is used, policies and systems used, standards adhered to and governance issues and perceptions of internal stakeholders - Get the class to break up into groups and consider the External and Internal risk context of the organisations they work in.

Slide

1.1 Establishing the context for operational risk

A number of factors can impact on the operational environment and may have risks:

- Weather
- Customer numbers
- Time of day
- Seasonality
- Type of activity or tour
- Experience and age of customers
- Ability and physical condition of customers
- Equipment being used and location



Slide 12

Slide No	Trainer Notes
12.	• Ask the group how each of these may impact. This can be done as a question to the group and they discuss or they are broken into groups where they must present their answers • Refer to page 10/11 of Trainee Manual for more information.

Slide

1.1 Establishing the context for operational risk

What are some events that could lead to risk?:

- Personal health and injury
- Product malfunction or failure, including systems and equipment
- Damage to property and equipment, including customer property
- Industrial dispute
- Professional incompetence
- Natural disasters
- Security failure
- Financial loss
- Political events
- Terrorism



Slide 13

Slide No	Trainer Notes
13.	• Go through the list with the group. Refer to page 11 of Trainee Manual for an explanation of each • Has anyone experienced any of these? • Is there anything we could add to this list?

Slide

1.1 Establishing the context for operational risk

Compliance requirements:

- Government Legislation
- Industry regulations
- Industry codes of practice
- Company standards
- ISO Certification



Slide 14

Slide No	Trainer Notes
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14.

- Explain how the different compliance requirements can vary in different jurisdictions, but that increasingly the hospitality industry must adhere to similar standards such as hygiene etc everywhere in the world
- Using a whiteboard work up a list of all the regulations and rules the group is aware of and which are being followed in their own organisations. Do this for the hospitality and tourism/travel industries.

Slide

1.1 Establishing the context for operational risk

- What stakeholders may be at risk?



Slide 15

Slide No	Trainer Notes
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15.	Trainer to ask the group: What stakeholders may be at risk?
-----	---

Slide

1.1 Establishing the context for operational risk

Activity 1 - Far East Travel

- What are the risks this business faces?
- How can we explain them to staff?



Slide 16

Slide No	Trainer Notes
16.	- Activity 1 is in the Work Project section for this element on page 24 of the Trainee Manual - It is recommended this is completed during class as a group activity.

Slide

1.2 Identify Operational Risk

Four root causes of risk:

- **People** - How do the actions of people working in the business/organisation contribute to creating potential risks?
- **Process** - What processes are currently being employed and what kinds of risks might be present in these processes?
- **Technology** - The use of technology will represent many advantages for the organisation but it may also come with the potential for significant risk
- **Environment** - The operating environment of the organisation needs to be carefully scrutinised to identify potential risk



Slide 17

Slide No	Trainer Notes
17.	- Trainer to go through each and explain the root causes of risk - Get the group to provide an example of each.

Slide

1.2 Identify Operational Risk

Identifying risk:

- Where is the risk within the organisation?
- When is the risk most likely to be present?
- How is the risk manifested?
- Why is the risk present?
- What effects does the risk have?



Slide 18

Slide No	Trainer Notes
18.	- Trainer to take the group through the where, when, how, why and what approach with respect to examples from the hospitality and tourism/travel industries - Refer to page 13 of Trainee Manual.

Slide

1.2 Identify Operational Risk

Identifying techniques:

- Analysing incidents
- Looking at historical data
- Using SWOT analyses
- Audits and inspections
- Surveys and questionnaires
- Reviewing legislation
- Running risk identification workshops
- Collecting best practice statistics



Slide 19

Slide No	Trainer Notes
19.	• Trainer to take the group through the techniques above. Refer to page 14 of the Trainee Manual • Has anyone used any of these techniques in the workplace? • Group work: Divide into groups and pick out one technique (per group) and workshop with the group how it could be used in their own industry to identify risk.

Slide

1.2 Identify Operational Risk

Activity 2 Consider your own organisation

- Identify and describe some risks



Slide 20

Slide No	Trainer Notes
20.	• Activity 2 is in the Work Project section for this element on page 24 of the Trainee Manual • It is recommended this is completed during class as a group or individual activity.

Slide

1.3 Assess Operational Risk

Once risk has been identified, its nature needs to be assessed. What is the likelihood of risk?

- Almost certain – denotes 80% probability
- Likely – denotes >50% probability
- Possible - denotes a >20% probability
- Unlikely - denotes a >10% probability
- Rare - denotes a 1% probability



Slide 21

Slide No	Trainer Notes
21.	• Likelihood can be expressed via the following Category rankings which classify risks into categories • Go through the likelihood levels on page 15 of Trainee Manual.

Slide

1.3 Assess Operational Risk

What are the consequences of risk?

- Death or permanent disability
- Very serious injury or long term illness requiring specialist treatment or hospitalisation
- Medical attention and several days of work
- Minor injury requiring first aid but no time off work
- Insignificant so no treatment required



Slide 22

Slide No	Trainer Notes
22.	Trainer to discuss the consequences level with the group.

Slide

1.3 Assess Operational Risk

The Risk Equation

$$\text{Risk} = \text{Consequence} + \text{Likelihood}$$

Slide 23

Slide No	Trainer Notes
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- | | |
|-----|---|
| 23. | Talk with the group about the risk equation and how it can assist us to determine what action should be taken with regard to risks. |
|-----|---|

Slide

1.3 Assess Operational Risk

RISK MATRIX	LIKELIHOOD OF OCCURANCE				
WHAT ARE THE POSSIBLE CONSEQUENCES?	Almost certain	Likely	Possible	Unlikely	Rare
Death or permanent disability	1	1	2	3	4
Very serious injury or long term illness	1	2	3	4	5
Medical attention and several days off work	2	3	4	5	6
First aid needed but no time off work	3	4	5	6	7
Insignificant	4	5	6	7	8

Action

- If rated 1, 2 or 3 (red – high risk) you must consider alternatives to doing the action. Controls will need to be in place to ensure safety
- If rated 4 (orange – medium risk) additional controls may be needed to undertake the task safely
- If rated 5, 6, 7 or 8 (yellow – low risk) it is okay to undertake the tasks safely with the existing controls in place

Slide 24

Slide No Trainer Notes

- | | |
|-----|---|
| 24. | <ul style="list-style-type: none"> • Trainer to show participants the risk matrix table and explain to them the relationship between likelihood and consequences • By using this table you can prioritise the risks which are most likely to require action on your part and allocate resources where required. This information can then be used to assess the exposure of the business to damage or claims arising from such risks eventuating. |
|-----|---|

Slide

1.3 Assess Operational Risk

Risk exposure:

- Legal
- Material
- Financial



Should the risk be addressed?

Slide 25

Slide No	Trainer Notes
25.	- Trainer to explain to the group the three main exposure areas a business faces with regards to risk Legal - could risk events if realised lead to legal liabilities, either through the business being non compliant with legislation/regulation and facing fines, or via legal proceedings being initiated against it as a result of a stakeholder suffering loss which could be traced back to a risk the business should have provisioned for. Legal also implies a reputational loss if the business is seen to be negligent in managing its own risks effectively Material - risk events could result in physical damage to the business premises, equipment and other physical assets such as vehicles and perishable (foods that spoil, rot and go bad quickly e.g. dairy) and non-perishable (foods that don't spoil or decay e.g. flour) items Financial - what costs in financial terms would the business experience if a risk was realised. This cost may relate to compensating stakeholders, paying fines or having to effect repairs or reconstruction - Once the risk has been considered the business must decide whether the identified risk should be addressed?

Slide

1.3 Assess Operational Risk

- What is risk sharing?
- Why would a business do this?



Slide 26

Slide No	Trainer Notes
26.	- Ask the group these questions - One option a business may consider in situations where it has to carry a significant risk is known as “sharing”. It may share with another party such as an insurer in exchange for a financial cost.

Slide

1.3 Assess Operational Risk

Risk control options:

- Avoidance – don't involve the business in certain high risk areas
- Reduction – use the risk control hierarchy to reduce likelihood of risk
- Retention – accept the risk and be prepared to absorb its costs if realised
- Sharing – use insurance or third parties to spread the costs of risk control



Slide 27

Slide No	Trainer Notes
27.	- Go through risk control options with group getting them to provide an example of each - Refer to page 18 of the Trainee Manual - The business will need to carefully evaluate its existing control options and decide if they need amending due to various changes taking place in both the internal and external operational environment.

Slide

1.3 Assess Operational Risk

Activity 3 Using the Risk Matrix

- What action should you take regarding a risk in your workplace?



Slide 28

Slide No	Trainer Notes
28.	• Activity 3 is in the Work Project section for this element on page 24 of the Trainee Manual • It is recommended this is completed during class as a group activity • Get participants to select a risk in their own workplaces and using the risk matrix assign it a likelihood and consequence rating • Debrief people's results with an emphasis on what steps they would take based on their rating.

Slide

1.4 Identify Operational Risk Control Procedures

The Hierarchy of Risk Control:

- ⦿ Elimination
- ⦿ Substitution
- ⦿ Isolation
- ⦿ Changes to procedures
- ⦿ Administrative controls
- ⦿ Personal protective equipment



Rate the cost of implementation.

Slide 29

Slide No	Trainer Notes
29.	• “Risk reduction” or what is sometimes known as “risk treatment” aims to lower risk through a hierarchy of control. This is the most common way of controlling risks • Trainer to through the hierarchy of risk control with the group on page19 of Trainee Manual • Read the Raj work example on page 20 of the Trainee Manual so participants can see the flow from identifying the hazard all the way to the control measure being put in place • Get the class to split into groups and agree on examples of each they have experienced in the workplace. Get each group to present their findings to the class.

Slide

1.4 Identify Operational Risk Control Procedures

- Sourcing risk control requirements
- Where can you obtain:
 1. Expertise on risk methods
 2. Physical resources to treat risk
 3. Sources of knowledge on risk



Slide 30

Slide No	Trainer Notes
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30.	
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- | | |
|--|--|
| | <ul style="list-style-type: none">• Go through potential sources of risk control requirements• Page 20 of Trainee Manual. |
|--|--|

Slide

1.4 Identify Operational Risk Control Procedures

Seeking input from stakeholders on risk:

- One on one consultation
- Team meetings
- Online forums



Slide 31

Slide No	Trainer Notes
31.	• Trainer to ask the group who they think a business' main stakeholders would be? • Why should we seek input from them? How might we do this? • Go through different ways of getting input from stakeholders and discuss how effective they would be.

Slide

1.4 Identify Operational Risk Control Procedures

Risk assessment tool review and activity



Slide 32

Slide No	Trainer Notes
32.	- Review the risk assessment tool on page 22 of the Trainee Manual. Give them this as a word document and get them to change and put in the context of their industry/department/task - This activity would be done if time permits. If not get the participants to review it and suggest it is a reference for them - They are also required to complete 1.3 in the Work Projects on page 24 of the Trainee Manual.

Slide

2.1 Develop operational risk management policy

What is a policy?

The Risk Management Policy has 2 purposes:

1. To identify, reduce and prevent incidents
2. To review past incidents and to prevent future occurrences



Slide 33

Slide No	Trainer Notes
33.	• Ask what a policy is? • Answer: A policy is a statement about the culture of an organisation and gives an explanation of why activities are to be undertaken. They will also provide guidelines for action and a mechanism for dealing with issues as they arise.

Slide

2.1 Develop operational risk management policy

Activity – Reviewing a Risk Management Policy

- How is it set out?
- How well has it served the business?
- Does it contain detail on a previous policy?
- Is there a statement of management commitment?



Slide 34

Slide No	Trainer Notes
34.	• Ask the group who has ever seen a risk management policy before? • Review the risk management policy information on page 26 of the Trainee Manual • Give out examples and get the group to review it using the criteria above. You can use the Bullying Policy on page 28 to review.

Slide

2.1 Develop operational risk management policy

Activity Risk Management Policy



Slide 35

Slide No	Trainer Notes
35.	- Activity is in the Work Project section for this element on page 36 of the Trainee Manual - It is recommended this is completed during class as a group activity. However the candidate will need access to their organisations risk management policy to complete this activity - Get participants to review their organisations risk management policy and provide an overview of how it is set out and its contents.

Slide

2.2 Develop written Operational Risk Management Plans

10-step process to developing a Risk Management Plan.

- Make a commitment, as an organisation, to risk management
- Identify all possible threats and risks
- Assess the level of each risk
- Decide to accept, treat or transfer each risk
- Determine treatment options for all unacceptable risks
- Formalise your Risk Management Plan
- Implement your treatment options
- Communicate information to everyone affected
- Review your Risk Management Plan after 6 months
- Identify any new risks and update your plan



Slide 36

Slide No	Trainer Notes
36.	• Trainer to discuss each point with the group • An effective Risk Management Plan can assist a business in preventing issues developing into major emergencies. These plans can assist in calculating the likelihood of an event, how it might impact on the business and how to mitigate the problems associated with such risks. Having such a plan will help with dealing with such circumstances and hopefully prevent them happening in the first place • Complete 2.1 in the Work Projects on page 37 of the Trainee Manual.

Slide

2.2 Develop written Operational Risk Management Plans

Operational Risk Management Plans need to include:

- Description of the risks to be managed
- Allocation of resources and responsibilities
- Action to take should risk be realised
- Preventative action to be taken
- Steps to eliminate unacceptable operational risks
- Risks that can not be eliminated



Slide 37

Slide No	Trainer Notes
37.	• Trainer to go through the key features a plan needs to have • Refer to page 32 of Trainee Manual for more information. Review the Risk Management Action Plan template on page 33 • Complete 2.2 in the Work Projects on page 36 of the Trainee Manual.

Slide

2.3 Develop written Operational Contingency Plans

What is a Contingency Plan?

- A plan which provides detail and directions in the event that a major risk is realised and begins to impact on normal operations
- What situations might occur that require a contingency?



Slide 38

Slide No	Trainer Notes
38.	• Explain a contingency plan to the group and ask them what sort of situations they think it would be used in • Ask the group for some situations • Some situations might be: ▪ Unforeseen incidents such as natural disasters, blackouts, gas leaks etc ▪ Personnel issues such as a number of staff being absent due to illness or key personnel resigning ▪ Environmental factors including sudden changes in the business environment due to an economic downturn ▪ Resource availability where such resources required for the operation of the business are hard to obtain ▪ Budget constraints such as limited funding for operations due to a range of factors.

Slide

2.3 Develop written Operational Contingency Plans

Developing a plan

- Get a representative group together
- Consider processes for which contingencies need to be made
- Determine events which could impact on them
- Develop steps to deal with these impacts



Slide 39

Slide No	Trainer Notes
39.	• Take the group through a process to develop a Contingency plan using a hospitality/tourism/travel example • Page 34 of the Trainee Manual has more information.

Slide

2.3 Develop written Operational Contingency Plans

Testing the Contingency Plan

- How do we know our plan will work?
- How should we prepare for an actual test?
- What are the risks in doing this?



Slide 40

Slide No	Trainer Notes
40.	• Pose these questions to the group and get them to answer in the context of their own workplaces • Look at the simple contingency plans on page 35 of the Trainee Manual. Show some other examples • Complete 2.3 in the Work Projects on page 36 of the Trainee Manual.

Slide

3.1 Inform staff of operational risk management and contingency plans

Staff have valuable knowledge to contribute to the Risk and Contingency planning process like:

1. Knowledge of issues with workplace issues
2. Awareness of faults with work processes
3. Workplace design/layout issues
4. Experience with the type, seriousness and frequency of workplace events



Slide 41

Slide No	Trainer Notes
41.	- Ask the group how often they have been asked to be involved in the risk management process - What experience do they think they have which could assist in the future management of risk in their workplaces?

Slide

3.1 Inform staff of operational risk management and contingency plans

- How do staff access their organisation's Risk Management and Contingency Plans?
- Does a business make it easy for staff to understand what is required of them in the Risk Management and Contingency Process?



Slide 42

Slide No	Trainer Notes
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42.	Ask the group what happens in their organisation.
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Slide

3.1 Inform staff of operational risk management and contingency plans

Procedures for staff to notify of risk:

- Verbal reports to supervisors
- Completion of a report form
- Raising the issue at staff meetings



Now look at the Sample Hazard Report Form in your Trainee Manual.

Slide 43

Slide No	Trainer Notes
43.	• Trainer to describe each procedure to the group • Ask them for the pros and cons of each • Review the sample Hazard report form on page 41 of the Trainee Manual.

Slide

3.2 Conduct staff training in Risk Management

Ways to train staff in risk:

- Emergency drills
- Case studies
- Role plays
- Simulations of risk events
- Workplace application



Slide 44

Slide No	Trainer Notes
44.	• Provide information on each training approach • Ask the group which they feel would be most effective in their own workplace • There is more information on pages 42/43 of the Trainee Manual.

Slide

3.3 Prepare resources to inform customers of operational risk management plans and operational contingency plans

Emergency Management Plans:

- Provides information on how to deal with significant disruptions to operations
- Addresses the means by which service levels will be maintained or the speed with which they will be reinstated



Slide 45

Slide No	Trainer Notes
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45.

Trainer to refer to the Emergency Management Plan template on page 45 of Trainee Manual.

Slide

3.3 Prepare resources to inform customers of operational risk management plans and operational contingency plans

Keeping customers informed:

- Emergency management plans
- Inductions and in house training
- Prepared statements for use if risk event occurs
- Flyers and bulletins to distribute to customers



Slide 46

Slide No	Trainer Notes
46.	• Discuss with the group the ways their businesses keep customers informed of their services and plans • Pose the question, why would customers be interested in our risk and contingency management plans? • Generate discussion around this and work up suggestions on the whiteboard.

Slide

4.1 Plan for the introduction of written risk management plans

Conducting staff meetings to introduce Risk Management Plans:

- Distribute and agenda
- Make objectives clear
- Only invite people who need to be there
- Stick to the agenda
- Summarise outcome via minutes



Slide 47

Slide No	Trainer Notes
47.	• Explain the importance of staff meetings to get staff on board with Risk Management planning • Ask the group, who attends meetings regularly? How effective are they? • Go through the key points of running an effective meeting.

Slide

4.1 Plan for the introduction of written risk management plans

Resources to support staff during the introduction of plans:

- External consultants
- Physical assets i.e. Tablets, iPads
- Appropriate training
- A Management Information System (MIS)



Slide 48

Slide No	Trainer Notes
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48.	• Explain each of these resources and how they can contribute to staff being able to support risk management efforts • More information is provided on page 48 of the Trainee Manual.
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Slide

4.2 Implement Risk Management Plans as written

Ensuring plans are adhered to:

- Formally introduce the plan
- Monitor uptake and level of commitment
- Intervene where need to ensure plan is being implemented



Slide 49

Slide No	Trainer Notes
49.	• Explain the process whereby plans can be enforced. More information is on page 50 of the Trainee Manual • Ask the group: How would you deal with a staff member who was not managing risk according to the plan? • Generate discussion on effective options to get someone like this on board.

Slide

4.2 Implement Risk Management Plans as written

Activity - Communicating risk management plan trial



Slide 50

Slide No	Trainer Notes
50.	- Complete Activity on page 51 in Work Projects in Trainee Manual 4.1, 4.2 and 4.3 can also be completed at this stage.

Slide

5.1 Identify new operational risks and changes in identified operational risk

Encouraging participation of staff to identifying new risks:

- Empower staff by involving them in the process
- Keep them informed of developments
- Utilise their suggestions



Slide 51

Slide No	Trainer Notes
51.	- Refer to page 53 of the Trainee Manual for more information. Explain that staff will only wish to be involved if they feel a real connection with what the business is trying to achieve - When discussing this list with the group ask them for their own ideas on other ways that staff could be encouraged to look for new risks.

Slide

5.1 Identify new operational risks and changes in identified operational risk

Getting feedback from customers to assist with identifying risk changes

- Direct approach to canvass their opinion
- Put yourself in their shoes
- Questionnaires and surveys
- Make sure feedback is formally recorded



Slide 52

Slide No	Trainer Notes
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52.

Discuss the important role that customers also have in determining changes in the risk environment and how a business needs to tap in to this if it is to successfully manage this element of risk.

Slide

5.1 Identify new operational risks and changes in identified operational risk

Changes to risk can also be detected through inspections of:

- **Processes** – Has the way work is done changed?
- **Equipment** – What is new and being used differently?
- **Facilities** – Have they been altered?
- **Business environment** – What is different in the wider environment now?



Slide 53

Slide No	Trainer Notes
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53.

- Talk about how we can carry out inspections of these four things to determine what has changed compared to when our original risk plan was developed. This will provide insights into new risks which may have developed
- Refer to page 54 of the Trainee Manual.

Slide

5.1 Identify new operational risks and changes in identified operational risk

Recording and reporting identified risks to management

- What recording and reporting processes do you have in place?



Slide 54

Slide No	Trainer Notes
54.	- A streamlined process needs to be in place to ensure that management are notified promptly of any changes to the nature of risk faced by the business. Internal systems need to be designed in such a way so as to ensure that a new risk can be promptly and accurately recorded, forwarded to a management representative and then accorded a high priority for consideration - The speed with which management responds to such communication will have an impact on how seriously staff view this important part of operational risk management.

Slide

5.2 Monitor implementation of existing plans and strategies

How can we ensure that the risk plan is being implemented properly?

- Observe current practices
- Identify and reward compliance
- Modify behaviour if non-compliant
- Support efforts of staff via financial support, time release and ongoing training



Slide 55

Slide No	Trainer Notes
55.	• More information on page 55 and 56 of Trainee Manual • Go through these points with the group emphasising how each can assist us in ensuring compliance with the risk plan • Ask how are staff rewarded for reporting in their workplaces • What happens if staff are non-compliant?

Slide

5.3 Ensure near miss events are identified, recorded and analysed

What to do after a near miss?

- Understand the circumstances that lead to the near miss via investigation
- Analyse the event to see what the root causes were
- Take remedial action and seek to amend the risk plan if necessary



Slide 56

Slide No	Trainer Notes
56.	• Read the scenario on page 57 of the Trainee Manual • Take the group through the process of handling a near miss and look at the incident report form on page 58 of their Trainee Manual • Give them a scenario and ask them to complete an incident report and analyse what needs to be done.

Slide

5.4 Evaluate implementation of existing plans and strategies

How well is the current plan?

- Identifying potential risk events
- Prioritising and treating risk events
- Utilising risk management tools and methods
- Involving staff in its implementation



Slide 57

Slide No	Trainer Notes
57.	• Talk with the group about how the plan should be assessed against these criteria as a preliminary to making changes to it • When the plan was set up these objectives would have been developed to measure effectiveness • How well are potential risk events identified? • How well are identified potential risk events prioritised and treated? • How well risk management tools and methods are utilised? • A high level of staff involvement in the implementation of the strategy • We now need to measure against these objectives.

Slide

5.4 Evaluate implementation of existing plans and strategies

Making changes to the strategy

- What are its advantages and disadvantages in its current form?
- Based on this what changes should be implemented?
- How will changes in the risk environment influence this?



Slide 58

Slide No	Trainer Notes
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58.

- | | |
|--|--|
| | <ul style="list-style-type: none">• Go through the steps in determining what changes the risk plan may require• More information is on pages 59/60 of Trainee Manual. |
|--|--|

Slide

5.5 Revise existing plans and strategies

Changes to the plan will require:

- The involvement of stakeholders
- Rewriting the plan based on criteria covered in 5.4
- Communicating changes to staff
- Providing training to support any revisions



Slide 59

Slide No	Trainer Notes
59.	More information is on page 61 of Trainee Manual. Go through the steps required to change the plan.

Slide

5.5 Revise existing plans and strategies

Activity - Revise the existing plan



Slide 60

Slide No	Trainer Notes
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60.	Complete the activity on page 61 of Trainee Manual in the Work Project section for this element.
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Slide

Thank you!

You've completed the "Manage Operational Risk" unit.



Slide 61

Slide No	Trainer Notes
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61.	Thank the students and deliver assessments as required.
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Recommended training equipment

Full range of equipment which may include lap top computer, data projector, overhead projector, white boards, chalk boards, photocopier, DVD player, TV screen, internet access and CD player

Consumables – such as white board markers and eraser, white board cleaner, overhead pens, transparencies, paper, butcher's paper, and industry materials relevant to the training topic

Sample session plans including blank pro-formas and completed examples of session plans for both theory-based and practical training sessions

Sample training materials such as handouts, case studies, exercises, workplace manuals, workplace policies and procedures, DVD's, internet downloads, menus, advertising materials, schedules, price lists, brochures

Instructions for Trainers for using PowerPoint – Presenter View

Connect your laptop or computer to your projector equipment as per manufacturers' instructions.

In PowerPoint, on the **Slide Show** menu, click **Set up Show**.

Under Multiple monitors, select the Show Presenter View check box.

In the **Display slide show** on list, click the monitor you want the slide show presentation to appear on.

Source: <http://office.microsoft.com>

Note:

In Presenter View:

You see your notes and have full control of the presentation

Your trainees only see the slide projected on to the screen

More Information

You can obtain more information on how to use PowerPoint from the Microsoft Online Help Centre, available at:

<http://office.microsoft.com/training/training.aspx?AssetID=RC011298761033>

Note Regarding Currency of URLs

Please note that where references have been made to URLs in these training resources trainers will need to verify that the resource or document referred to is still current on the internet. Trainers should endeavour, where possible, to source similar alternative examples of material where it is found that either the website or the document in question is no longer available online.

Appendix – ASEAN acronyms

AADCP	ASEAN – Australia Development Cooperation Program
ACCSTP	ASEAN Common Competency Standards for Tourism Professionals
AEC	ASEAN Economic Community
AMS	ASEAN Member States
ASEAN	Association of Southeast Asian Nations
ASEC	ASEAN Secretariat
ATM	ASEAN Tourism Ministers
ATPMC	ASEAN Tourism Professionals Monitoring Committee
ATPRS	ASEAN Tourism Professional Registration System
ATFTMD	ASEAN Task Force on Tourism Manpower Development
CATC	Common ASEAN Tourism Curriculum
MRA	Mutual Recognition Arrangement
MTCO	Mekong Tourism Coordinating office
NTO	National Tourism Organisation
NTPB	National Tourism Professional Board
RQFSRS	Regional Qualifications Framework and Skills Recognition System
TPCB	Tourism Professional Certification Board

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